EsKrow+ Legal Feasibility

Can a Thai bank hold buyer funds in escrow? · 21 October 2026 · Team EsKrow+

Verdict

Feasible. A Thai commercial bank can legally hold a buyer's money and release it to the seller once agreed conditions are met. The legal basis is the **Escrow Act B.E. 2551 (2008)**, amended in **B.E. 2562 (2019)**, together with **Bank of Thailand Notification FPG. 1/2554**.

The 2019 amendment is what makes EsKrow+ fit. Escrow is no longer limited to property deals: any reciprocal contract qualifies, including a social-commerce sale. The bank may also hold and release money **without taking part in transferring ownership** of the goods.

KBank still needs Ministry of Finance permission and must notify the BOT before launch. Both sides of every deal must sign an escrow contract with the bank.

The law in its own words

The official title is **พระราชบัญญัติการดูแลผลประโยชน์ของคู่สัญญา พ.ศ. ๒๕๕๑** (Escrow Act B.E. 2551), Royal Gazette Vol. 125, Part 36 Kor, 20 February 2008. Thai wording is quoted from the Royal Gazette; English from the Office of the Council of State's unofficial translation.

มาตรา ๕ — any reciprocal contract can use escrow

> "ในการทำสัญญาต่างตอบแทนใด ๆ คู่สัญญาอาจตกลงกันจัดให้มีผู้ดูแลผลประโยชน์ของคู่สัญญาโดยการทำสัญญาดูแลผลประโยชน์"
>
> *"In entering into any reciprocal contracts, the parties to the contract may agree to have the escrow agent by way of entering to an escrow contract."*

A social-commerce sale is a reciprocal contract: the seller delivers goods, the buyer pays.

มาตรา ๖ — both buyer and seller must sign

> "สัญญาดูแลผลประโยชน์ต้องทำเป็นหนังสือลงลายมือชื่อของคู่สัญญาและผู้ดูแลผลประโยชน์ของคู่สัญญา"
>
> *"The escrow contract must be made in writing, signed by the parties to the contract and the escrow agent."*

The contract must also state the release rules: "(๕) หลักเกณฑ์ในการโอนเงินออกจากบัญชีดูแลผลประโยชน์" (rules for transfer of money from the escrow account).

มาตรา ๑๐ — banks are eligible

> "ผู้ซึ่งประสงค์จะได้รับใบอนุญาตตามมาตรา ๙ ต้องเป็นสถาบันการเงิน หรือนิติบุคคลอื่นตามที่กำหนดในกฎกระทรวง"
>
> *"The person who wishes to obtain the license under section 9 must be a financial institution or other juristic persons as prescribed in the Ministerial Regulation."*

มาตรา ๑๔ — escrow money is kept apart from the bank's own

> "ผู้ดูแลผลประโยชน์ของคู่สัญญาต้องจัดเก็บทรัพย์สินของคู่สัญญาแยกออกจากทรัพย์สินของตน"
>
> *"The escrow agent shall keep the property of the party to the contract separated from his or her property."*

มาตรา ๒๓ — a dispute freezes the money, unless the contract says otherwise

> "เว้นแต่ในสัญญาดูแลผลประโยชน์จะกำหนดไว้เป็นอย่างอื่น ในกรณีที่มีข้อโต้แย้งเกิดขึ้น … ห้ามผู้ดูแลผลประโยชน์ของคู่สัญญาส่งเงินหรือโอนทรัพย์สินให้แก่คู่สัญญาฝ่ายใดฝ่ายหนึ่งจนกว่าคู่สัญญาจะได้ทำความตกลงกัน หรือศาลมีคำพิพากษาถึงที่สุด"
>
> *"Unless otherwise stipulated in the escrow contract, where there is a dispute … the transfer of money or property to the other party by the escrow agent shall be prohibited until the parties to the contract make an agreement or there is a final judgment of the Court."*

This is the most important clause for EsKrow+: without a dispute rule written into the contract, any disputed order could sit frozen until a court rules.

มาตรา ๒๕ — protected if the agent fails

Money in the escrow account "ได้รับความคุ้มครองโดยไม่ถือเป็นทรัพย์สินที่อยู่ภายใต้การยึดหรืออายัด" — it cannot be seized or shared among creditors if the escrow agent goes bankrupt.

The 2019 amendment — the Escrow Act (No. 2) B.E. 2562, in force 15 April 2019, repealed the narrow definition of "คู่สัญญา" so all reciprocal agreements qualify. It also lets the agent hold and transfer money on the parties' request without handling the transfer of ownership.

What the law requires vs. what EsKrow+ does

Most legal duties are already covered by the brief's design. Three need new work: seller sign-up, a written dispute rule, and the licence itself.

Legal requirement	Section	EsKrow+ today	Action
Escrow licence from the Minister of Finance; operating without one is fined up to THB 1,000,000	ม.๙, ม.๔๔	Not addressed	KBank applies, or confirms its existing licence covers this product
Written contract signed by buyer, seller and the bank	ม.๖	CREATE DEAL: both agree price and terms	Seller e-signs in K PLUS; confirm e-signature satisfies ม.๖ under the Electronic Transactions Act B.E. 2544
Contract states delivery conditions and release rules	ม.๖(๔), (๕)	Policy-Based Authorization; VERIFY TRACKING	Show the release policy to both sides as contract terms
Deposit into escrow account within one business day; receipt to payer; notify the other side immediately	ม.๑๗	ESCROW step	Auto e-receipt to buyer, push notice to seller
Escrow money separated from the bank's own, with a ledger per party	ม.๑๔	Separate from normal K PLUS transfers	Per-deal sub-ledger
Release money plus any interest (ดอกผล) directly to the entitled party's account and notify them	ม.๑๙, ม.๒๐	RELEASE: pay out or refund	Pass interest through, or agree in the contract how it is handled
Dispute freezes funds unless the contract sets another rule	ม.๒๓	"Transparent, auditable dispute process"	Write the release, refund and buyer-report rules into the contract (proposed wording below)
Keep contract records at least 5 years; electronic form allowed	ม.๑๓	Tamper-evident audit log	Set retention to 5+ years
Fees may not be taken from the escrow account; split equally unless agreed	ม.๘	"Future fee-based models"	Charge fees separately from the held amount
Agent may not act for a party it has an interest in	ม.๑๒	Not addressed	Ask the Escrow Committee whether KBank being a party's bank counts
Staff who embezzle or forge escrow records face up to 5 years' prison	ม.๔๘	Zero-Trust Admin, Dual Approval, RBAC	Strong fit: present as the control for this risk
Board-approved operating plan sent to the BOT 30 days before launch	BOT FPG. 1/2554, 5.2.2–5.2.3	Security architecture in the brief	Use the brief's controls as the plan's risk section

Release and refund rules

The buyer releases the money; the bank checks the shipment first. Every outcome follows a rule both sides signed (ม.๖(๕)), and the money goes directly to the entitled party (ม.๒๐).

1. Within 72 hours of payment, the seller enters a shipment ID (tracking number) in K PLUS. Screenshots are not accepted.
2. The bank checks the ID with the carrier: it exists, was created after the deal, goes to the buyer's address and name, and is not used in another deal. If it fails, the seller is told at once and can send another ID before the deadline.
3. A verified ID goes to the buyer, who sees the carrier's own address and recipient. One tap confirms, and the money is paid to the seller.
4. If the buyer neither confirms nor reports within 48 hours of a verified ID, the money is paid to the seller.
5. If the buyer reports a problem before payment, the money stays held and the carrier's records decide.
6. If no verified ID arrives within 72 hours, the money is refunded to the buyer's paying account.

The buyer's tap is the parties agreeing, which ม.๒๓ recognises. For every other case the contract sets the rule, which ม.๒๓ allows ("unless otherwise stipulated"). Without these rules, a seller who just says "I did ship" would freeze the money until a court rules.

Proposed contract wording (for KBank legal to review):

> **Release.** The escrow money is paid to the seller when the buyer confirms a shipment ID the bank has verified with the carrier, or 48 hours after the bank sends a verified shipment ID to the buyer if the buyer neither confirms nor reports a problem.
>
> **Refund.** If no shipment ID passes verification within 72 hours of payment, the escrow money is returned to the buyer's paying account.
>
> **Buyer report.** If the buyer reports a problem before release, the money stays held and the carrier's records decide whether it is released or refunded.
>
> **Other disputes.** Any other dispute freezes the money under ม.๒๓ until both sides agree or a court rules.

Risk	What the law says	How EsKrow+ handles it
Seller says "I did ship" to block the refund	ม.๒๓: a dispute freezes the money "unless otherwise stipulated in the escrow contract"	Only a carrier-verified shipment ID counts. The seller is told when an ID fails and has until the deadline to send a valid one
Buyer stays silent to hold up payment	ม.๖(๕): the contract sets the release rules	Paid to the seller 48 hours after a verified ID
Buyer reports a correct shipment to stall payment	ม.๖(๕) and ม.๒๓, as above	Carrier records decide; if they match the deal, the money is released
Parcel never arrives after the buyer confirmed	Once paid under ม.๒๐ the money is the seller's; getting it back is a claim or criminal case against the seller	The buyer sees only carrier-verified data, and the confirm screen says the money goes to the seller now. Reports after payment go to the fraud team, which can have the seller's account suspended under the tech-crime decree. Recovery is not guaranteed
The in-app contract is challenged as unfair	The contract is a สัญญาสำเร็จรูป (standard form). Under the Unfair Contract Terms Act B.E. 2540 ม.๔, a term giving the drafter an unreasonable advantage is enforced only as far as is fair	Same objective rules for every deal. The seller is told at once when an ID fails. No clause excuses the bank from its own verification errors
Refund paid by mistake: the seller really shipped but carrier data failed	Civil and Commercial Code ม.๔๐๖: whoever receives something without legal ground must return it	The seller can claim the money back from the buyer. The audit log proves the bank followed the contract
A "refund" used to move money to a third party	ม.๒๐ requires payment directly to the entitled party; AML rules apply	Refunds go only to the account that paid

The 72-hour and 48-hour periods are proposals. Paying the seller at the buyer's confirmation, not at delivery, is a team decision: honest sellers are paid sooner, but a parcel that never arrives after confirmation is no longer protected by escrow.

Path to launch

KBank needs four regulatory steps before the first deal, and the BOT step needs at least 30 days' notice.

1. **Escrow licence (ม.๙).** Confirm whether KBank already holds one for its property escrow. If not, apply to the Minister of Finance through the Escrow Regulation Committee; the Fiscal Policy Office is its secretariat (ม.๒๗).
2. **Board-approved operating plan.** It must cover policy and procedures, risk management and internal controls, staff readiness, and compliance audit (BOT FPG. 1/2554, 5.2.3).
3. **BOT notice or approval.** A bank whose latest audit rated operational risk low to average sends the plan to the BOT at least 30 days before launch. A higher-risk bank needs BOT approval first (5.2.2).
4. **BOT permission for extra services.** Shipment-tracking verification may count as an "other service" under ม.๗ วรรคสอง, which needs BOT permission before use (5.2.1(2)).

5. **Standard in-app escrow contract.** It must contain the eight items listed in ม.๖, including release rules, fees, and each side's rights and duties.
1. **Pilot with a small user group**, then scale.

Other Thai laws that touch EsKrow+

None of these blocks the idea. The technology crime decree works in EsKrow+'s favour.

Law	What it means for EsKrow+
Emergency Decree on Measures for the Prevention and Suppression of Technology Crimes (amended, in force 13 April 2025)	Operators, including financial institutions, can be jointly liable for scam losses unless they prove they met their regulator's standards. Accounts flagged by the government's anti-tech-crime centre must be suspended. EsKrow+'s risk check supports the safe harbour; a flagged seller's deal should move straight to refund.
Electronic Transactions Act B.E. 2544	Basis for signing the ม.๖ escrow contract inside K PLUS instead of on paper. Legal should confirm the signing method meets its standard.
Personal Data Protection Act B.E. 2562 (PDPA)	Tracking numbers, delivery addresses, device and behaviour signals are personal data. Needs a lawful basis, a privacy notice, and data-sharing terms with couriers.
Anti-Money Laundering Act B.E. 2542	Sellers who receive payouts must be identified and screened; suspicious deals reported to AMLO. Fits the RISK CHECK step.
Payment Systems Act B.E. 2560	Run inside KBank, the bank's existing supervision should apply. A non-bank subsidiary would likely need its own licence (not verified).

Open questions for KBank legal and compliance

- ☐ Does KBank's existing escrow licence cover a consumer social-commerce product, or is a new filing needed?
- ☐ Does an in-app click-to-sign meet ม.๖'s “ทำเป็นหนังสือลงลายมือชื่อ” (in writing and signed)?
- ☐ Is shipment verification an “other service” under ม.๗ วรรคสอง that needs separate BOT permission?
- ☐ Are the proposed release and refund rules fair under the Unfair Contract Terms Act, and are 72 and 48 hours the right periods?
- ☐ If police, AMLO or the anti-tech-crime centre freezes a party's money, how does that order apply to funds already in escrow?
- ☐ Does KBank count as having an interest (ม.๑๒) when the seller is also a KBank customer?
- ☐ Has the Escrow Committee capped fees under ม.๘, and how must fees be disclosed?
- ☐ Can sellers who bank elsewhere, paid out via PromptPay, be parties, and what KYC applies to them?

Sources

- พระราชบัญญัติการดูแลผลประโยชน์ของคู่สัญญา พ.ศ. ๒๕๕๑ — Royal Gazette text (Fiscal Policy Office)
- Escrow Act B.E. 2551 — unofficial English translation (Office of the Council of State, via Fiscal Policy Office)
- BOT Notification FPG. 1/2554: Permission for Commercial Banks to Operate Escrow Services
- LawPlus: Escrow Agents Act (No. 2) B.E. 2562
- Tilleke & Gibbins: Thailand Amends Emergency Decree on Technology Crime
- พระราชบัญญัติว่าด้วยข้อสัญญาที่ไม่เป็นธรรม พ.ศ. ๒๕๔๐ (Unfair Contract Terms Act), full text
- Civil and Commercial Code section 406, unofficial English translation (ThaiLawOnline)

Quotes are from the original 2008 text; the 2019 amendment changed ม.๓ and the agent's duties, so check the current consolidated text before filing. Feasibility research for the K PLUS Smart Life Assistant Challenge, not legal advice.